

FEDERAL MARITIME COMMISSION

Office of Administrative Law Judges

COLOR BRANDS, LLC, *Complainant*

v.

AAF LOGISTICS, INC., *Respondent*.

DOCKET NO. 22-18

Served: January 27, 2023

ORDER OF: Erin M. WIRTH, *Chief Administrative Law Judge*.

INITIAL DECISION ON DEFAULT¹

I. INTRODUCTION AND PROCEDURAL HISTORY

In the complaint, Color Brands, LLC (“Color Brands”) alleges that Respondent AAF Logistics, Inc. (“AAF”) violated the Shipping Act of 1984 (“Shipping Act”) by charging for insurance that it did not obtain for maritime shipments. AAF has not responded to the complaint or otherwise participated in this proceeding. Therefore, a default decision is issued against it.

On August 30, 2022, the notice of filing of complaint and assignment for this proceeding and a copy of the complaint were served on Respondent AAF. UPS provided a slightly different, corrected address for AAF from the one listed in the complaint. A UPS delivery notification states that the documents were delivered on August 31, 2022, to AAF Logistics, Inc., 17700 Castleton St., No. 363, City of Industry, CA 91748-1700. Ex. 1; *see also* Order to Respond to Motion for Default (Dec. 6, 2022), attachment 1.

On September 26, 2022, a notice of appearance on behalf of Respondent AAF was received from Attorney Henry Gonzalez and Attorney Peter Herrick. Also on September 26, 2022, Respondent’s counsel filed a motion for extension of time to file an answer. On September 27, 2022, the requested extension to October 17, 2022, to respond to the complaint was granted.

On October 17, 2022, Attorneys Gonzalez and Herrick filed a motion to withdraw as counsel for Respondent. The motion stated, in part:

¹ This initial decision will become the decision of the Commission in the absence of review by the Commission. Any party may file exceptions to this decision within twenty-two days of the date of service. 46 C.F.R. § 502.227.

On October 17, 2022, Respondent notified undersigned that its services were being terminated and discharged effective immediately. Respondent confirmed it was made aware of the consequences and impact of undersigned counsels' termination and discharge, and which decision could result in a default judgment. Notwithstanding, Respondent acknowledged the consequences as explained, and still desired to terminate and discharge undersigned counsels' representation.

Motion to Withdraw at 1.

On October 18, 2022, an order was issued granting Respondent's counsels' motion to withdraw, ordering AAF to respond to the complaint, and stating that if "Respondent fails to respond to this order by November 18, 2022, a default decision may be entered against it, including awarding reparations to Complainant up to \$ 322,624.17, plus attorney's fees if sought, and any other appropriate penalty." Order Granting Motion to Withdraw as Counsel and Order to Show Cause at 2.

On November 28, 2022, Complainant filed a motion seeking default and entry of a default judgment ("Default Motion"). This Default Motion did not include a notice that it was served on Respondent. The Office of Administrative Law Judges ("OALJ") emailed a copy of the Default Motion to Complainant and attorney Charles Pok, who had been identified in the complaint as representing Respondent. Mr. Pok responded that he was "not the attorney of record in this case" and "cannot receive any document on behalf of AAR Logistics," presumably referring to "AAF" Logistics. Ex. 2, *see also* Order to Respond to Motion for Default, attachment 2.

On December 6, 2022, an order to respond to motion for default was issued, serving a copy of Complainant's motion for default, ordering AAF to respond to the complaint by January 5, 2023, and warning that a default decision may be entered against it, including awarding reparations to Complainant up to \$ 322,624.17, plus attorney's fees if sought, and any other appropriate penalty. On December 7, 2022, Respondent AAF was served at its UPS updated address of 17800 Castleton St., No. 363, City of Industry, CA 91748-1700. Ex. 3.

II. DISCUSSION

A. AAF is in Default

The Commission's rules require that AAF file its answer or otherwise respond to the complaint within twenty-five days after the date of service of the complaint. 46 C.F.R. § 502.62(b)(1). To date, AAF has failed to respond to the complaint, the initial order, the order to show cause, the motion for default, or the order to respond to the motion for default. AAF has been advised that a default may be entered against it in numerous orders as well as by the attorneys it hired to represent it. The case has been pending for over four months.

Pursuant to Commission Rule 62:

Failure of a party to file an answer to a complaint, counterclaim, crossclaim, or third-party complaint within the time provided will be deemed to constitute a waiver of that party's right to appear and contest the allegations of the complaint,

counterclaim, crossclaim, or third-party complaint to which it has not filed an answer and to authorize the presiding officer to enter an initial decision on default as provided for in 46 CFR 502.65. Well pleaded factual allegations in the complaint not answered or addressed will be deemed to be admitted.

46 C.F.R. § 502.62(b)(6)(i). Moreover, when “a party is found to be in default, the Commission or the presiding officer may issue a decision on default upon consideration of the record, including the complaint.” 46 C.F.R. § 502.65(b).

Respondent was served and had notice of this proceeding. Despite multiple warnings that failure to respond would result in a default decision, AAF has failed to respond or participate in this proceeding. In addition, Respondent hired attorneys to represent it but decided to terminate their service. Therefore, a default decision against Respondent is appropriate.

B. Violation of the Shipping Act

The Commission’s regulations provide that well-pleaded factual allegations in a complaint will be deemed to be admitted when a respondent fails to answer a complaint within the time provided. *United Logistics (LAX) Inc. – Possible Violations of Sections 10(A)(1) and 10(B)(2)(A) of the Shipping Act of 1984*, Docket No. 13-01, 33 S.R.R. 196, 198 (FMC Feb. 6, 2014); *Century Metal Recycling Pvt. Ltd. v. Dacon Logistics, LLC*, Docket 12-09, 33 S.R.R. 17, 19 (FMC Nov. 12, 2013). When a respondent defaults, the finder of fact accepts as true all well-pleaded facts in the order. 10A Wright & Miller § 2688, pp. 58-61; *Hugh Symington v. Euro Car Transport, Inc.*, Docket No. 92-47, 26 S.R.R. 871, 872 (ALJ Mar. 18, 1993) (adm. final).

In the complaint, Color Brands alleges that AAF is a maritime common carrier subject to regulation by the Commission; that the Commission has jurisdiction over the claim; and that reparations are sought for violations of the Shipping Act, sections 41102 and 41104. Complaint at ¶¶ 2-6, 21. Color Brands alleges that as a result of AAF’s violations of the Shipping Act, it has sustained injuries and damages in the amount of \$322,624.17. Complaint at ¶ 22; Default Motion at 2.

Specifically, the complaint contends that over the past three years, Color Brands has shipped freight with AAF with a stated value of \$37,057,209.14; AAF charged an average rate of .32% of value for the requested insurance coverage; and Color Brands paid AAF \$118,583.07 for such coverage. Complaint at ¶ 14. Color Brands states that AAF issued bills of lading for several of its shipments which were received in good order and delivered with physical damage and delay. Complaint at ¶ 15. Color Brands alleges that AAF has engaged in a pattern of improper practices, including failing to provide survey reports of damages, repeatedly demanding claim documentation that has already been provided, and denying claims improperly. Complaint at ¶¶ 16-19.

As a specific example, Color Brands asserts that order 5434 was an export shipment with container DFSU7281114 moving under AAF bill of lading COSU6301553970, dated June 1, 2021, scheduled to move from Long Beach, California, to Karachi, Pakistan. Complaint at ¶ 7. Color Brands changed the consignee and paid AAF for the associated costs to change the final destination from Karachi to Rotterdam, where the container arrived with substantial cargo

damage. Complaint at ¶ 8. On December 17, 2021, Color Brands requested evidence of insurance on orders that were damaged in transit, but AAF provided no documentation and gave no indication that there was an insurance plan in place. Complaint at ¶ 9. On January 13, 2022, Color Brands advised AAF of an insurance claim but AAF “advised that insurance coverage was not available for the leg between Jebel Ali to Rotterdam.” Complaint at ¶ 10. AAF did not advise Color Brands, when AAF charged Color Brands an additional \$10,087, that cargo insurance coverage was limited or not available. Complaint at ¶ 11. On February 8, 2022, AAF offered a partial settlement after the goods were destroyed and AAF said insurance coverage was not obtained for Color Brands’ shipments. Complaint at ¶ 12. Thus, Color Brands concluded that AAF has been charging and been paid for cargo insurance coverage but not, in fact, obtaining such coverage. Complaint at ¶ 12. Attempts to obtain proof of insurance coverage and to resolve this claim have been unsuccessful. Complaint at ¶ 13.

Accepting the factual allegations of the complaint as true, Respondent operated as an ocean transportation intermediary (“OTI”), agreed to transport numerous shipments, billed and received payment for insurance on those shipments, and failed to obtain the appropriate insurance. It is not clear whether AAF is a licensed OTI or whether it is operating as an unlicensed OTI. However, from the factual allegations it appears that AAF holds out that it transports cargo by water between the United States and foreign countries for compensation, assumes responsibility for the transportation from the point of receipt to the point of destination, and uses, for all or part of that transportation, a vessel operating on the high seas between a port in the United States and a port in a foreign country. While it would be helpful to have additional information about the parties and the shipments involved, AAF’s failure to participate in the proceeding meant that Complainant was unable to conduct discovery and to identify additional evidence relevant to the allegations.

Complainant alleges violations of the Shipping Act and a pattern of conduct sufficient to demonstrate a violation of the Shipping Act. AAF has not denied the allegations. Respondent chose not to participate in this proceeding, and its failure to participate has deprived Claimant of the opportunity to obtain additional evidence to support its allegations, as Respondent would be most likely to have information pertinent to the allegations against it. Such failure to respond has been found by the Commission to support a default decision. *See, e.g., Century Metal Recycling*, 33 S.R.R. at 19; *Shipco Transport Inc. v. Jem Logistics, Inc., and Andi Georgescu*, Docket No. 12-06, 32 S.R.R. 1855, 1857 (FMC Aug. 21, 2013); *Oceanic Bridge International, Inc. - Possible Violations of Section 10(a)(1) of the Shipping Act of 1984*, Docket No. 14-02, 2014 FMC LEXIS 24, *1 (ALJ Oct. 21, 2014) (adm. final). The conduct alleged in the complaint states a claim for violation of the Shipping Act and AAF has defaulted. Accordingly, Complainant has established that AAF violated the Shipping Act.

C. Reparations

The Complainant seeks \$322,624.17 in damages. Complaint at ¶ 22; Default Motion at 2. Pursuant to section 11(g) of the Shipping Act “the Federal Maritime Commission shall direct the payment of reparations to the complainant for actual injury caused by a violation of this part, plus reasonable attorney fees.” 46 U.S.C. § 41305(b). Commission case law states that: “(a) damages must be the proximate result of violations of the statute in question; (b) there is no presumption of damage; and (c) the violation in and of itself without proof of pecuniary loss

resulting from the unlawful act does not afford a basis for reparation.” *Waterman v. Stockholms Rederiaktiebolag Svea*, Docket No. 638, 3 F.M.B. 248, 249 (FMB Dec. 8, 1950); *James J. Flanagan Shipping Corp. v. Lake Charles Harbor and Terminal Dist.*, Docket No. 94-32, 30 S.R.R. 8, 13 (FMC Aug. 26, 2003).

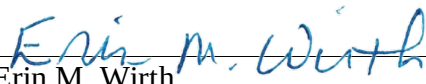
The evidence demonstrates that as a consequence of the violations by AAF, Color Brands sustained damages of \$322,624.17. Color Brands is also entitled to interest running from December 17, 2021, when it requested evidence of insurance, to be calculated by the Commission when this judgement and decision become administratively final. *See* 46 C.F.R. § 502.253. In addition, Complainant may be eligible for attorney fees, upon petition, pursuant to Commission Rule 254. 46 C.F.R. § 502.254.

III. ORDER

For the reasons stated above, it is hereby

ORDERED that Color Brand’s motion for default be **GRANTED** and default be entered against Respondent AAF Logistics. It is

FURTHER ORDERED that Color Brands be awarded \$322,624.17, plus interest from December 17, 2021, as reparations for violating the Shipping Act.


Erin M. Wirth
Chief Administrative Law Judge

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...

To: Joseph Johnson

Wed 8/31/2022 12:56 PM



Hello, your package has been delivered.

Delivery Date: Wednesday, 08/31/2022

Delivery Time: 9:54 AM

Signed by: AAF LOGISTICS

FMC-WASHINGTON

Tracking Number:

[1Z1Y2R542491402838](#)

Ship To:

AAF LOGISTICS, INC.
17700 CASTLETON ST.
NO. 363
CITY OF INDUSTRY, CA 917481700
US

Number of Packages:

1

UPS Service:

UPS Next Day Air®

Package Weight:

1.0 LBS

Reference Number:

OS

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ID Exhibit 1

Re: Motion for Filing - Docket No. 22-18 (Color Brands, LLC v. AAF Logistics, Inc.)

[REDACTED]
Tue 11/29/2022 3:54 PM

To: Judges [REDACTED]

Cc: [REDACTED] Secretary

Dear Sir or Madam:

I am not the attorney of record in this case. I cannot receive any document on behalf of AAR Logistics. I was never retained as attorney of record for any party in this case.

Charles Pok

-----Original Message-----

From: Judges [REDACTED]

To: Charles Pok [REDACTED]

Cc: Daniel Lutz, COO [REDACTED]; Robert Zimmerman [REDACTED]; Secretary [REDACTED]

Sent: Tue, Nov 29, 2022 10:05 am

Subject: Fw: Motion for Filing - Docket No. 22-18 (Color Brands, LLC v. AAF Logistics, Inc.)

Good afternoon,

All filings should be sent to secretary@fmc.gov and copied to judges@fmc.gov and the opposing party. By this email, this filing is being sent to Respondent AAF Logistics, Inc. Mr. Pok, please reply all to confirm that you are in receipt of this filing on behalf of AAF Logistics, Inc. Thank you.

Sincerely,

Office of Administrative Law Judges
Federal Maritime Commission
800 North Capitol Street, NW
Washington, DC 20573-0001
Tel: 202-523-5750
Email: judges@fmc.gov

From: Robert Zimmerman [REDACTED]

Sent: Monday, November 28, 2022 4:02 PM

To: Secretary [REDACTED]

Subject: Motion for Filing - Docket No. 22-18 (Color Brands, LLC v. AAF Logistics, Inc.)

Good Afternoon,

My name is Robert Zimmerman and I am writing from complainant Color Brands LLC. Please find attached Color Brand's LLC's Motion for Default and Entry of Default Judgment. I have included the motion as well as the sworn verification.

This is my first time submitting a document for filing with the Federal Maritime Commission. Please let me know if there is anything else I can provide or an alternative method to submit this filing.

Thank you very much for all your help.

Sincerely,

Robert Zimmerman

ID Exhibit 2

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Wed 12/7/2022 3:54 PM

To: Judges <Judges@FMC.gov>

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Delivery Time: 11:59 AM

Left At: INSIDE DELIV

Signed by: WANG

FMC-WASHINGTON

Tracking Number:	<u>1Z1Y2R54A294328202</u>
Ship To:	AAF LOGISTICS, INC. 17800 CASTLETON ST CITY OF INDUSTRY, CA 91748 US
Number of Packages:	1
UPS Service:	UPS Next Day Air®
Package Weight:	0.0 LBS
Reference Number:	ALJ

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